

# Efficiency is the new *margin.*

A point of view for finance and digital officers on the cost-to-income ratio as GCC interest margins compress.

## THE ARGUMENT

# The margin you cannot *control*, and the one you can.

**The tailwind is fading.** GCC banks' net interest margins eased to 2.6% in H1 2025, from 2.8% a year earlier, as regional rate cuts fed through. Loan-to-deposit ratios rose to 94.1%, tightening liquidity. The earnings engine that carried the sector through the rate cycle is now working against it.

**Efficiency is where the region already wins.** The GCC average cost-to-income ratio improved to 32.0% in H1 2025, and the region's leading retail banks run at 30 to 35 per cent — against 45 per cent or more in most developed markets. That gap is an advantage to defend, and every point of it drops straight to the bottom line as margins thin.

**Digital-first moves the ratio fastest.** When a local bank launched a digital-only proposition — cloud-native architecture, WhatsApp Banking, instant onboarding — account opening fell from days to minutes and the cost-to-income ratio fell dramatically with it. The lever is not headcount. It is the cost of serving each customer.

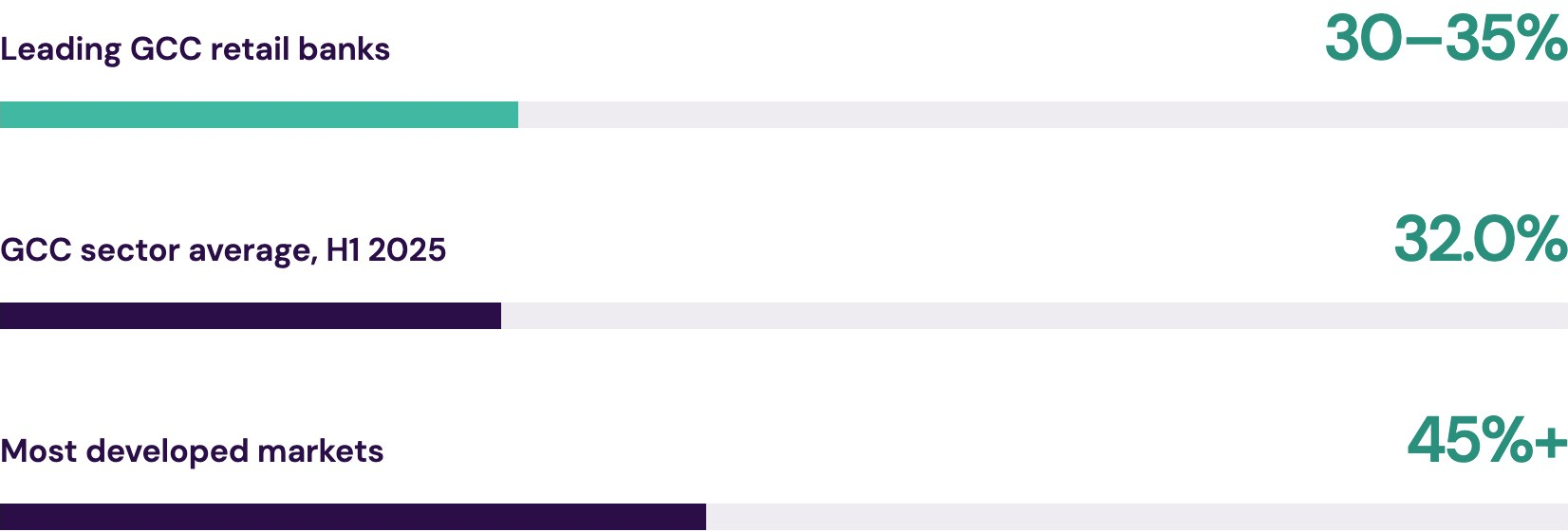
Rates are set elsewhere. The cost base is set in your own operating model.

“You do not set the rate curve. You do set the *cost of every account you open.*”

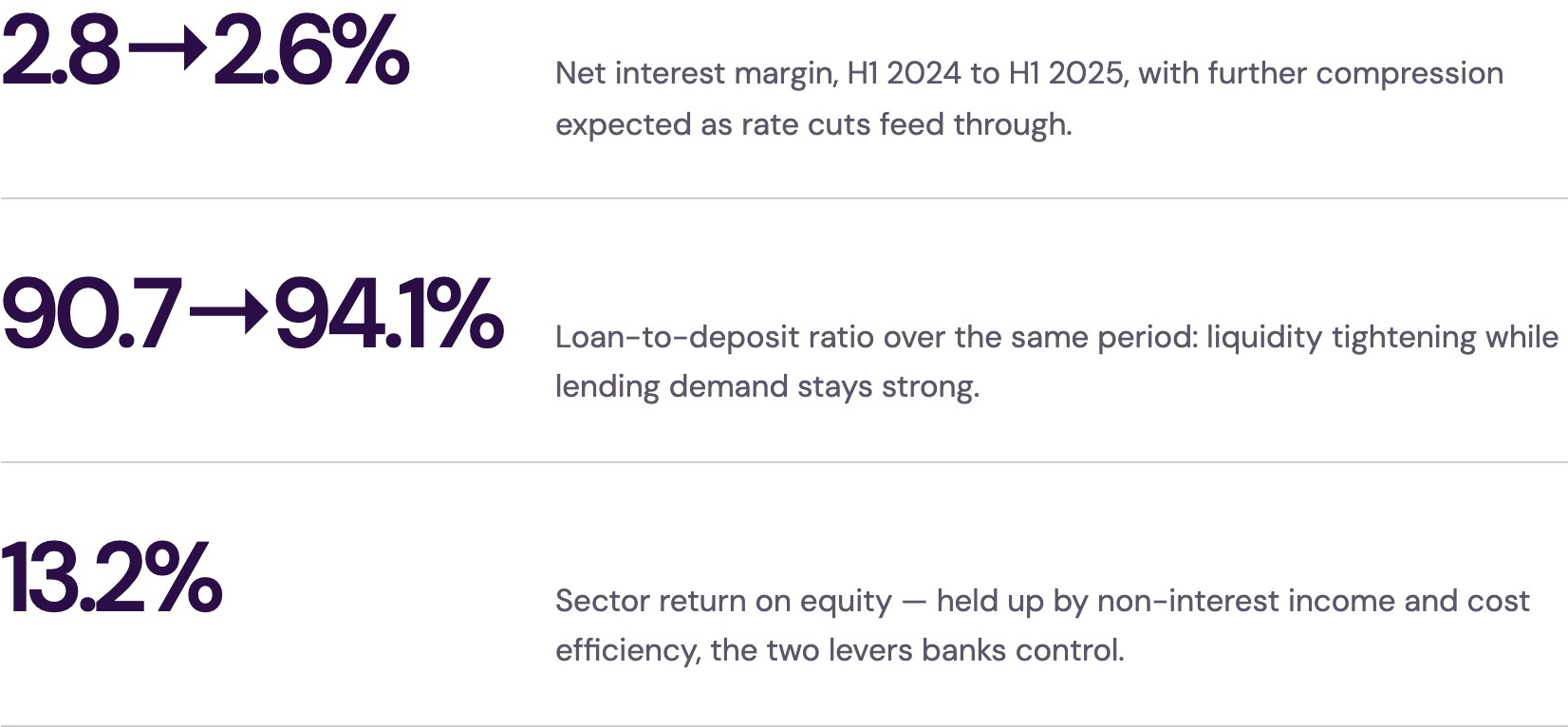
THE EVIDENCE

The efficiency *gap*, in numbers.

COST-TO-INCOME RATIO



THE PRESSURE BUILDING UNDERNEATH



Sources: EY GCC Banking Sector Outlook, H1 2025; Strategy& Middle East, digital banking in the GCC. Aspiro analysis.



THE FRAMEWORK

# Four levers on the *ratio*.

01

## Digital-first journeys

Onboarding, servicing and payments redesigned around self-service — minutes not days — so cost per customer falls as volume grows.

03

## Strategic sourcing

Third-party spend managed as a portfolio: consolidated vendors, renegotiated contracts, and make-or-buy decisions taken deliberately.

02

## Lean before automation

Waste out first, tooling second — so every automation dollar buys real capacity rather than encoding inefficiency.

04

## Income mix, not just cost

The denominator matters too: fee-based and non-interest income growth carries the ratio when margins compress.



CASE STUDY

# A digital bank on the incumbent's *balance* sheet.

## Minutes

ONBOARDING TIME, DOWN FROM DAYS

### Omnichannel strategy & digital banking launch

A local GCC bank competing for the next generation of customers.

THE CHALLENGE

A branch-led cost base and onboarding measured in days, against digital attackers competing for younger GCC customers on experience and price.

WHAT WE DID

Designed and launched a digital-only proposition: cloud-native architecture, WhatsApp Banking, and instant onboarding, run alongside the existing bank.

THE OUTCOME

Onboarding down from days to minutes, a dramatically reduced cost-to-income ratio, and a proposition that wins the next generation of GCC customers.

Minutes

Onboarding, down from days

Cloud-native

Architecture, with WhatsApp Banking

C/I down

Dramatically reduced cost-to-income ratio



WHAT TO DO ON MONDAY

# Four moves while the margin *holds*.

- 01

**Know your cost per customer**

By journey and by channel. The ratio moves when that number moves.
- 02

**Pick the journeys that pay**

Onboarding first — it prices every relationship that follows. Then the top servicing flows.
- 03

**Clean the process first**

Lean before automation, so digitisation compounds savings instead of locking in waste.
- 04

**Grow the denominator**

Fee income diversification is the other half of the ratio. Treat it with equal discipline.

Leading with clarity.  
Delivering the *difference*.

Start a conversation

ABOUT ASPIRO

Aspiro is an independent, investor-free management consultancy for GCC financial institutions, founded in Dubai in 2015 with offices in Riyadh and London. Its partners carry 100+ years of senior leadership experience, backed by a network of 8,000+ specialists.

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